Ed Zitron on Anthropic's IPO (S-1), AI Debt, and Counterparty Risk

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis: The episode argues that the current AI boom is a speculative financial bubble rather than a genuine productivity shift, driven by unsustainable business models and opaque accounting practices. Ed Zitron contends that companies like OpenAI and Anthropic are financially distressed in 2025, characterized by massive capital burns (over $8 billion loss for Anthropic despite high revenue), excessive non-cancelable debt obligations ($400+ billion compute commitments), and deceptive use of "run rate" metrics to mask lack of profitability. The core thesis posits that the sector is over-leveraged relative to its actual economic value, relying on venture capital and private credit markets to fund infrastructure (data centers) that has not yet delivered corresponding GDP growth or consumer utility.

2. Key Arguments & Data:

3. **Financial Performance:** Anthropic lost $8 billion on $4.6 billion of revenue in 2025, burning at a cost of $2.75 to make $1. This is worse than OpenAI (2025 numbers: spent $2.60 to make a dollar).
4. **Revenue Deception:** "Annualized run rates" are described as deceptive; API calls are non-recurring expenses treated as recurring revenue. Actual Q2 revenue for Anthropic was $11.5 billion, but annualized run rates were inflated to $48–65 billion by arbitrary multipliers (e.g., multiplying 17 million users by 365).
5. **Concentration Risk:** A disturbingly high percentage of revenue relies on reselling from Google and Amazon (approx. 47% for Anthropic), creating reliance on customer contracts that are also competitors.
6. **Debt & Obligations:** Anthropic holds over $413 billion in non-cancelable computer obligations ($252 billion with hyperscalers + $161 billion Broadcom). To maintain this, they rely on high-yield debt markets (14%+ interest) during a period of economic contraction.
7. **Hardware & Supply Chain:** CoreWeave faced massive refinancing costs (spreads widening from ~9% to 13–14% financing costs), while Oracle is refinancing cheap 2020 debt at 5–8%. SoftBank faces collateral risk on ARM stakes and data center loans.

8. **IPO Delays:** Both OpenAI and Anthropic have delayed or stalled IPOs (e.g., Anthropic from September to November/December rumors), signaling financial stress that investors are not seeing in the public disclosure documents.

9. **Economic Impact:** AI is failing to drive productivity gains; GDP growth is driven by data center construction debt rather than software value creation. The US economy faces potential recessionary pressure from high interest rates and over-investment in unused GPU capacity (50% of chips sold may sit idle).

10. Actionable Takeaways:

11. **Financial Transparency:** Investors should scrutinize revenue reports for "annualized run rates" versus audited, prime-cut revenue numbers to distinguish between hype and actual cash flow generation. Demand prime cuts over adjusted EBITDA for tech stocks.
12. **Asset Diversification:** Consider moving capital away from speculative high-yield AI tech equities toward "Return to Tangibles" sectors (energy, materials, precious metals) to hedge against potential market correction and inflationary pressures in debt-financed infrastructure projects.
13. **Monitor Bond Spreads:** Watch private credit bond yields; if spreads widen significantly for hyperscalers like CoreWeave or Oracle, it indicates a rising probability of refinancing failure that could cascade into broader financial instability.
14. **Risk Awareness:** Be wary of companies with massive non-cancelable infrastructure commitments that have not yet generated cash flow. The potential for a "second wave" of tech collapse (beyond dot-com) due to bad debt and over-investments is a high-probability outcome if profitability does not occur by 2026.

Full Transcript

This episode is brought to you by Sarmaya Partners, who manages the Return to Tangibles ETF, LENS, ticker L-E-N-S, the Sarmaya Thematics ETF, built for Return to Tangibles. Learn more at SarmayaETF.com and see the show notes for disclosures. Let's get into it. I am joined once again by Ed Zitron of the Better Offline podcast and the Where's Your Ed newsletter. Ed, great to see you again. Welcome back. Great to be back. Ed, the first time I had you on, you talked about your work on OpenAI's financials, which you found in 2025. We now have the financials for Anthropic. They just were leaked. Reuters reported when they filed their confidential S1 for their IPO. What was your reaction to these numbers? How would you characterize them? Well, I had a good chuckle. That was the first thing I went. I had a turtle. But then I went and actually did the maths.

Anthropic, at least in 2025, was a worse business than OpenAI. It spent 2.75 to make a dollar, and OpenAI did 2.60 based on my own reporting. Anthropic burned, they lost 8 billion on 4.6 billion of revenue, but it's really the finer details that make it interesting. About 47% of Anthropic's revenue came through sales from Google and Amazon, reselling their models. Which is a worrying concentration risk considering Amazon fed 50 billion dollars to open AI this year and sells them models and Google actually provides compute to open AI But Google has their own models with Gemini they sell grog they sell everything so it isn't necessarily anything dodgy But there is a real risk there they have that basically their largest customers by proxy are also their competition. But fundamentally, there's a really simple way of putting this. The myth of Anthropic has been, since the very, very, very beginning, that this was the more profitable, more sustainable, more stable company compared to OpenAI when the literal opposite was correct, at least in 2025. We do not have the 2026 numbers, which I think would shut the boosters up big time. But I think that this is the thing.

I don't know if it's possible to have a profitable AI lab. I don't think it's possible. And at the very least, we know that at least in 2025, Anthropic was in a worse condition than OpenAI. And just how much worse were those

numbers compared to OpenAI? They spent 2.75 to make a buck. OpenAI did 2.60. So kind of the same, but Anthropic just mildly worse. And the big thing is, and while I didn't have in the numbers I got about open AI, the breakdown of where the revenue came from. We didn't have the same percentage thing because that 47% disclosure is strictly something that Reuters got as a result of the prospectus. I don't think that half of open AI's revenue came from Microsoft Azure. And I think that people need to realize, sure, it's a counterparty relationship. It's very standard. What have you?

But it is still bad because remember, Google and Amazon can discount Anthropics tokens all they want. I've actually heard of it going the other way where Anthropics will discount tokens through AWS. It's all very weird and unstable and also just odd. And I think that 2026 numbers are going to be so important to see because if this revenue concentration has got worse. This is on top of the fact that 80% of open AI and Anthropics revenue comes from 1% of their customers who are predominantly AI startups. It's really becoming the case where the success of these companies is not a result of their sales operations or any particular innovation, but counterparties being able to lose money on their tokens or indeed resell their tokens to captured customers. So a very high percentage of Anthropics revenue is not from people going to cloud.com or yes, or business is going to cloud.com. It's through Amazon and Google's reselling. Now, there's nothing I must be clear. I'm a hey, don't get me wrong, but I want to be fair here. That is very standard for like cloud software companies. That high of a concentration, though, I don't think that there's any comparison I've seen. And it also means that their success is contingent on Google and Amazon's ability to sell there.

stuff, which they seem to be doing fine with. It's just odd. It's very odd. The narrative is the exact opposite that the risk for open AI is concentration. The whole thing about Anthropic is that it's less concentrated. That's a narrative. In theory. I mean, people are already saying, well, who cares about these numbers? 2026 will be better. We've had these stories about Anthropic hitting profitability, but it's on an adjusted basis, which means it is not profitable. So I mean people are gonna push pot and I've heard too many boosters saying I'll just ignore these 2025 numbers 2026 will be better the

thing is is They better be amazing compared to this because if they're not this is a company in distress I'm also very curious how let's take them at their word in these very clearly dodgy leak stories Anthropic managed to become profitable on some level in Q2 And that was likely due to Elon Musk's discount in their computer. That is one of the most aggressive turnarounds of costs I've seen in history. You're telling me this company that went from losing 8 billion in a year turned that into a profit? How? Like how are they doing that? Like, I mean, if they've done it, wow, impressive. I'm very impressed. But the question is how? And I think the...

My question with Reuters as well is, why haven't they gotten the 2026 numbers? Was it a limited prospectus? Is Anthropic not sharing 2026 numbers in there? I don't know. And the fact is, we as the public sure already have this S1. I know Reuters can't just publish it. I know that's too much to ask. But at the same time, we need way more information about this document that we have. And I think that Reuters is slow rolling it. And I hope I'm wrong. I hope that they are sharing everything they can as fast as they can. But if there's any more stories that come out of... Sorry, I literally loaded Reuters.com. There's another story. Let's see what... It's just more wank about, oh, their warnings are AI's promise in peril. Advanced models may resist shutdown or manipulate information.

Just more fuck it more fucking shite more. It's just I'm so tired of hearing about this. Give me your goddamn financials you worms. I'm not interested in your vague scare tactics. And you're tired of them saying we might destroy the world. Yes, I don't think it's productive. I don't think I think it's funny. They put it in the S one and they must someone must believe it. I think Krishna Rao, who's meant to be the adult in the room, the CFO over anthropic, needs to have a conversation with someone and say, hey, is this worth putting in here? Do we want this? And I think now you've got the rationalist side fighting with the actually rational people and bonking heads. I've never heard of an S1 that's had these kind of warnings before. Maybe there is...

Who knows maybe there is a situation where like an oil company had to put in warnings about destruction But never heard it from a software company And it's so strange you raise oil company because I literally was just about

to bring up oil in the following sense that on anthropic profitability that basically if you take away the cost of drilling wells every single oil company in the world is ridiculously profitable so They have to constantly reinvest to make sure that they have the best model. Otherwise, China is going to catch them in six months and sell their tokens for pennies. So I just wanted to add that to the conversation about how they say they're profitable before training costs. It's basically earnings before costs. And I think it's just, I'm sorry. I think it's ridiculous. I think it's a joke that people are even engaging in this. I think that we need financial reform.

so that you can't do this. I think we actually need to remove the abilities for companies to do adjusted EBITDA or anything non-gap or if so or the new rules. I think we need to just eliminate all this and Anthropic is going to be the reason why. This company is a dog. This is not a good business. Unless their 2026 numbers are dramatically different, I got to ask, why are they even being allowed to go public? I realize the answer is, The free market whatever bollocks we have that justifies helping hapless retail investors lose hundreds of millions of dollars But it's just this is a farcical company and the only company that's gonna look worse is open AI and in truth based on the numbers I've seen I just went and looked it up Microsoft's revenue share payments to open AI in 2025 for 303 million It's actually less than an anthropic shared with Amazon and Google which likely means the A much smaller share of open AI's revenue comes through Microsoft, but open AI does their accountancy different in that they don't count the revenue driven from Microsoft as their own. Point is, there's too much obfuscation in these companies. Generally, when something's a good deal, you kind of know it upfront. You don't have to go looking for diamonds in turds quite as much. And so the fact that there's so much.

hand waving here is so worrying it's kind of like every bad relationship I think anyone's ever had where it's like you want the answers to the questions that really bother you and you get just a little you get right up to the edge it's like hey are you profitable well who's that you're texting oh no one it's always it's this layer of like subtle deceit where it's like you don't want to push too much further because you know what the answer is and the answer is these companies lose a ton of money But the biggest most worrying thing about this S1 that Reuters is slow rolling us through is that

Anthropic has over 400 billion worth of non-cancelable computer agreements. With over 100 billion, I think it was, without going to leasebacks with Broadcom? This is, that alone is...

Absolutely terrifying. Microsoft's, I think their OPEX is 150 something billion a year. Metas is 124 billion. Anthropic is just kind of a tiny company to have all of these, these different obligations. But also how in blazes is that? Let's say this company is profitable. Let's let's make it a mystical world where Anthropic is profitable. That doesn't matter anymore. Because if they're profitable, but they have to pay 100, 200 billion a year in OPEX, how do you get the money in? Because it's not going to come through revenue, it's not going to come through cash flow, it's going to come through debt at the single worst time in history to raise high yield. So I mean, these are the kind of, and the reason I'm kind of flabbergasted by this is people are just talking about this like, ho hum, yeah, should be fine.

It doesn't worry me. This is meant to be the most important company ever. And it looks like the inside of a septic tank. What are those commitments? Just how large are they? The 518 billion, there's 413 billion of them that are non-cancelable. 252 billion in non-cancelable obligations across Microsoft, Google and Amazon. 161.2 billion in Broadcom, TPU lease obligations. And these are largely non-cancelable. I just want to be clear about the Broadcom one, which is the really this is where it escapes into the rest of the world. These are these deals with Broadcom. One of them is a 35 billion deal where Apollo and Blackstone maybe basically Broadcom did 35 billion of loans, but Anthropic is only responsible for 5 billion in the event of its insolvency and Broadcom has to pay the Pay him back otherwise, but it's a kind of dodgy relationship where they try and sell the TP's to someone else. The point is, there is counterparty risk here at scale. Because those 252 billion in non-cancelable computer agreements, those are factored into analyst expectations for Google, Amazon and Microsoft. What happens if they don't get paid? Well, guess what? Those future earning guidance is going to have to be drawn down quite severely. And again, it's like this is.

These are not small amounts, and this is not a small company. This is a company that is meant to have the mandate of heaven, and is also the future revenue guidance of Google, Amazon, Microsoft, maybe Meta, if Meta sells

them compute, but who knows, they're doing Muse now, and Broadcom specifically on two levels, because if they are buying TPUs directly from Broadcom, that they then put in Google data centers and Google rinsed back to Anthropic, and also Google. is buying TPUs to serve Anthropics compute on top of that. So there are all of these counterparty risks that are, I'm going to be honest, not being discussed with anywhere near the alarm necessary because you can believe that AI is the most special boy of all time. You can genuinely do that. I'm not going to argue with you. I disagree. But let's talk fundamental numbers. This is hundreds of billions of dollars for a company that I think it's latest quarter had 11.5 billion dollars of revenue.

But this is the distance between these numbers is severe and Darryl Amade himself said in February of this year, if he misjudges the amount of compute he is buying, then he will be bankrupt and there is no hedge on earth that could stop it. I'm paraphrasing but it's damn close. And again, people are just like, well, Anthropica will work it out, right? Anthropica will work it out. I should bloody well hope so, but it will require, what, 1,500 billion on the high-yield market every single year? Come on. Hey everyone, hope you're finding value in my questions. I've got a quick question for you. How much of your portfolio actually depends on the physical world? If you own the S&P 500, more than a third is tech. Energy, materials, and precious metals, about 5%.

Sarmaya Partners believes the next cycle belongs to tangibles. The energy and metal sectors have been under-invested and under-loved for a decade. They call it Return to Tangibles, and Lens, ticker LENS, the Sarmayur ETF, is an actively managed ETF that they manage to express this view. And active is the point. The team follows the theme across sectors, market caps, and borders as the cycle evolves, adding where they see opportunity and trimming themes that look overextended. Miners, energy, precious metals, critical metals, all in one actively managed ticker, LENS. When inflation runs, stocks and bonds can fall together. LENS adds real asset exposure with the potential to diversify both the stock side and the bond side against inflation and geopolitical risk. Learn more about the LENS ETF and their full data and comparison, including performance at www.sarmayaetf.com.

Investing involves risk, including possible loss of principal. The fund's investment objectives, risk, charges, and expenses must be considered carefully before investing. This and other important information is contained in the prospectus, which may be obtained at surmayaitf.com. Please read the prospectus carefully before investing. Thanks for listening. Let's get back to today's interview. I and a lot of people I think, you know, knew that Nvidia was getting its balance sheet heavily involved in the AI build out. I didn't know that Broadcom had a similar level. Yeah. So Broadcom is a real dog of a company, too. I did a haters guide on this a few weeks ago. I think Broadcom, a large chunk of Broadcom's revenue is increasingly just AI chips. Most of those are being sold to three companies, Google for TPUs, mostly to rent to Anthropic, Anthropic for those TPUs, and of course, open AI with a jalapeno chip.

The other bit is the MTAI chip from Meta. Here's the thing with this. They are not quite doing the balance sheet as a service to quote Morgan Stanley. The Nvidia is doing yet, but there's that 35 billion private credit package. And on top of it, I remember the information I had a story a few months ago saying that Broadcom was financing a chunk of the chips for OpenAI's jalapeno. So it's. Getting involved in the much actually Nvidia is by comparison actually being a little smarter because Nvidia classically does equity investments that then are used to raise money with the Valor equity partners deal with grok or sorry exit Whatever that company's called these days SpaceX. There we go They did this deal where they put 2 billion into it and then the money was raised to buy the GPUs back from them Lancia and the Stargate Abilene data center developer they did an equity investment, core weaves, same deal. So what happens is NVIDIA puts real money in, but it's not a liability. It's just an equity investment. Perhaps they have some risk in the future of the net income cut, but nowhere near as bad as taking on 35 billion of debt on top of the fact that Broadcom is still sitting with that stinky ass debt from 2023 when they bought VMware and that revenue is already kind of petering out. Well, not petering out. The growth is petering out. So Broadcom is playing this risky game. And there was a story about a month ago saying they're going to raise another 60 to 100 billion. So I mean, what can I say? Broadcom has literally three years ago said, we are not a GPU company. Now they are just both second fiddle and kind of the Greta van fleet to the Nvidia's Led Zeppelin. Just kind of sounding kind

of similar, but not quite the same, definitely not satisfying. And so, yeah, it's all deeply unstable. What do you make of the unaudited, but your leaked financials revenue for OpenAI and Anthropic, this figure analyzed revenue ARR? Well...

Let's talk about what run rate means cause no one can tell you. True. That OpenAI story 70 billion dollar run rate, that's up from 40 billion a month ago? Hmm, press X to doubt. What do you mean? That's a huge jump. And it seems that what OpenAI is, well, let's actually talk about the problem with run rate, just objectively, putting aside my feelings. So, annualized run rate is a dangerous metric. It is not useless. But it's a dangerous one because what you're doing is you take, and I know this is very straightforward, but it's important to say, you take a period of time and you annualize it. So you say, oh, I am making this much in revenue in this month, times 12 or times 13, however you want to do it. This is how much I'd make on a yearly basis. That is a reasonable thing for a business in general. The problem here is that these companies never define run rate and also a 30 billion jump in run rate in a single month.

makes me very suspicious. Because people are meant to read it and go, oh, their revenue will be 70 billion. It won't. It's going to be 36 billion for this year for open AI, I think. So that's the first issue. So this 70 billion jump. And that means that something changed. The big problem is they are annualizing a non-recurring expense. So they are most like the annualizing the, by the way, subscriptions are recurring. I know. But API calls are not. Yeah, that's not a recurring expense. So annualizing that's a big problem. Then there's another suspicious thing that came out. Great news that called insane analysis had a factoid that I think came through investors where it was saying that Anthropics July annualized run rate, which was 65 billion, was taken by multiplying July 31 by 365. One day, one day, what's 178 million times 365. And that got reported by Bloomberg.

You know, no surprise to you that you're quite a popular man on YouTube. So when we did our first interview, it would be like if I took the 24 hour viewership from that and then multiply by 365. Exactly. That's exactly it. Yeah. And that's, and this is your yearly view count. Like you've just, you, that is how you do it. It doesn't take into consideration any fluctuations in

the business. Again, one, actually, no, not again. This is a very new point. The big thing is as well is they are, it's a classic AI scandal scam hybrid where it's ARR means annual recurring revenue to most people, which is you take the subscriptions you have and you say, okay, if this all stays stable, great, we will have this much revenue. Recurring revenue is meant to refer to contracted revenue.

So if you have a contract with a company that lasts a year, and it's 100 million, okay, great, you can count that with an ARR figure, annualized run rate may as well be in a different country because they never, ever, ever, ever, none of these people ever define what run rate means. Microsoft said they had the 37 billion run rate for AI. No definition. My cognition a couple of weeks ago said they hit a billion dollars annualized run rate. No definition. Anthropics said it back in May when they had, I want to say, 30, 40 billion, doesn't really mean anything. Don't define it. It may as well mean anything. And people will say, oh, you're gross, but it extorts. Actually, they are. They are the ones who are providing with shitty information. And the thing I'll say to AI boosters who hear this and coughing up blood, you should want better evidence. This isn't even me being a dick. This is you should want them to speak with their whole chest because we know these are no longer cutesy little startups.

These are companies Daniela Amade a couple months ago said they need to go public so that they can go to the debt markets to cover their expensive training runs. You need better than this. And I mean, I think at this point, these run rate figures are useless. We should only have prime cuts. We should only have audited. And I think the problem is going to be the no one will see this coming even though it's very obvious that these companies have been overstating their revenues. and they have been using these run rate figures as a means of making a kind of key jangling and saying, it's all going to be OK. Look at our special number we invented. Problem is with special numbers like that is you can't pay your bills with them. So the special number for Anthropic from January to, let's say, June exploded higher. Meanwhile, Anthropic's growth was way, way less than that. I think it's fair to say that the baton in terms of revenue growth has been handed from Anthropic.

back to open AI. And that's why I've actually seen some estimates online. Again, I don't really know that, but that anthropic annualized run rate has kind of flatlined, which actually does make sense in the context of the growth of open AI that, you know, open AI really has been taking market share back from anthropic. Is that a characterization that I said roughly in line with how you see things as well? Yes, and you are referring, I think, to the something ranks that there's a specific ticker ranks or ticker tips or something. Yeah, they've shown Anthropics, ARR, annualized run rate, Jesus Christ, kind of leveling out and opening eyes growing, but still behind them. And it's kind of like, yeah, that makes sense because the first, I would say, half of the year was this token maxing era.

because they switched everyone over to token-based billing in Q1. And there was the initial thing of all of the CEOs saying, yeah, this is spend as much money on this as you want. Let's go nuts. And then there was the pullback when they started seeing the bills. And that's happened bit by bit. The reason it hasn't happened quicker is because a lot of these big contracts that said, minimum spend of 10 mil or what have you. I also have to wonder whether Anthropic isn't playing silly games with an open AI to be clear around what 10 million dollars means. Are they saying 10 million dollars within that annualized run rate or are they spreading that 10 million across six months? Instead, Anthropic could just be saying 10 million times 12 or 13 or 365 if it's on the right day. I think open AI is likely doing the same thing because If you look at the actual revenues within the months we're talking about, so Q2 and Thropic was a 48 billion annualized run rate, they made 11.5 billion in revenue. Those are two very different numbers, almost completely different numbers. You could not really divine 11.5 easily from the larger one. In fact, I would argue it directly deceptive. And Thropic's revenue in Q1 was 4.8 billion, so they just over doubled.

Still a kind of impressive night. But wow, you've got a business growing even though some of that came through Google and Amazon and some of that came through distillation and a lot of that came through meta. But nevertheless, it's doubled. But within that period, their annualized revenue went from what? 8 billion or 9 billion at the beginning of the year to 48 billion. That's these numbers don't interact with reality very much at all. All I'm calling for is transparency. And I think we're going to find it one way or

another. But I genuinely think the thing we need at the end of this is SEC regulation around private companies and disclosures of revenue because these numbers are actively deceptive. So a few months ago, people were saying that OpenAI is going to go public in 2026 and that Anthropic could go public as soon as September. Now, we're final day of September. Students are going to be into October. Anthropic.

filed their S1, but I'm clear if they're going to go public. And is Sam Altman saying that he's not going to go public in 2026? I think it's partly my fault that OpenAI will slow down their IPO because it was like a week and a half after the New York Times story ran. I also, I heard, and this is rumored, so whatever it's rumours, I heard from someone saying that they were doing some interesting stuff with their S1 that might be my theory is the numbers might have differed from what I published. Anthropic. All I'll say is this, it's peculiar for the most important IPO of the year to get delayed twice. It was meant to be, we heard, I don't know if you remember, we heard stories of August. We had stories, there was at least one story I read, it's like next week and we're in August. Then it was next week, we're in September. Then it was mid-September, then it was end of September, now it's November. Or sorry, then it was October, then it was November. Why? Just why? This is...

This is a big boy. This is the big boy season. Come on. Let's see their numbers. And I think what happened is, as we're kind of seeing with the Reuters story, the numbers are quite worrying. Like these are however you may feel about AI. These aren't great numbers and people saying, oh, oh, it's just 2025. Things improve 2026. You better hope they did, man. You really better hope they did because they're going to have to improve a lot. So I think these delays are assigned the. Probably, I mean, the greater financial markets are in dog shit season. Things are looking very bleak. The S&P 500 is way too weighed on the big tech companies. The rest of the S&P 500, the cash flows aren't there. So I think that there's some cynicism around that. But at the same time, it's also, did something happen with the S1? But did the numbers not look good when you showed them to investors? Where is the mismatch here?

Surely this is the best time in history to do this, right? Like it's not going to get better. So I think we need to ask why and we're not going to get told. I

think the only way we're going to be able to work it out is by dividing it from the numbers, which look bad. And then I genuinely don't know why we haven't seen 2026. And by the way, if it turns out they just don't have 2026 numbers in their S1. And if Reuters is slow rolling them, bad Reuters, naughty Reuters, newspaper to the face for you. And when we spoke last in June, that was the local top in semiconductor stocks and AI sentiment broadly. And then two months later, we had the liquidation of the situational awareness head fund. So the mood has soured moderately, not disastrously, in public markets. So I think maybe that's why the bankers are saying that the market's not ready right now.

And the problem is, is this is a toothpaste situation. You can not get it back in the tube with this one that delays with Oracle data centers. This for sure situation. Just the general concerns about AI profitability, the ramp data. I don't know if you've gone over where it's like 1% of their revenues come. Sorry. 1% of their customers, which most of the AI startups are 8% of their enterprise revenues. These stories are now out there and there's not really a ton they can do to get rid of them. Like I'm just. I don't think there's really, there is no good response. So I think they're probably, how can I put this? I think they blinked. I think the, with this AI safety thing, I think that that was a narrative that got out of control that is only making things worse in the, for years since like 2023, little clammy Sammy has been saying, oh, we're a little bit scared. We're a little bit scared of the models.

And that's been working really well for the man, Dario Amade, with Axios, with the various people experiencing concussions. Axios saying, oh, we're sleepwalking into a white collar blood bath. 50% of people are going to lose their jobs, blah, blah, blah, blah. All of that was a really useful marketing mechanism for a while. But I think the Jacob Coxson situation, which I'd like to spend as little time on as possible, because I think that twerp will get upset. But that situation was the narrative getting out of control up until that point. The scary doomer stuff is very useful, but because of the unique way that worked, which is mostly the media does not know what LLMs do and will never find out. So they'll believe anything someone tells them. As a result, everyone suddenly flipped out and it no longer was this convenient marketing story. Suddenly it was this massive liability when everyone was

saying, oh, this is worrying. Now, that wouldn't be a problem if AI was not also a septic tank of a business.

because now you have to have these risk factors in there, which I think are kind of silly, but nevertheless, you have to have this thing in there being like, hey, the thing we're making might kill people. Is that good? Do you like that? And on its own, that wouldn't be a problem. But on top of all the other problems, on top of the fact that 47% of their cash was collected by a completely separate entity, and these hyperscalers, they pay you a net 1,000, not literally, but they pay you way, way slower than collecting the money yourself. These are all little rickards. bits that make this whole thing a lot more rickety. They're just in a real pickle. I don't see what they do to change this, this agentic news bollocks, I think is honestly really bad for Anthropic because it's a very consumer product and Anthropic has never been very consumery. But on top of that, it's what could Anthropic do to dramatically change this story? And indeed, even if it's run rate, if things are petering out, if things are kind of plateauing, or even growing very slowly, how the hell are you paying those 400 billion worth of obligations, Dario, with whose money? You're going to be borrowing, well, look at the 10 years, like 5.287 as of close. What the hell are you going to be raising at 14%? You may as well call Bloody SoFi. You may as well go to a payday loan guy at this point. And the thing is, when you already have an unprofitable business, let's say, I don't think it would happen, they can raise 50 to 100 billion in high yield.

All it takes is one bad quarter to make your business collapse. And people will say, well, they're the fastest growing company of all time. OK, is your revenue going to grow for your unprofitable business faster than that insane interest? On top of all the other obligations you have, when your business can only grow by spending way more money than it makes, what are you going to do? Even if they stopped training and they had a marginally profitable business, let's say that that was possible. They have made obligations that are so far out in front of any potential success they could have, that I just don't see how it works. And no one has a good answer other than they are the biggest, most hugest company and they will grow big and strong. What do you think of Muse and the hype around Muse, the very positive reaction from journalists and the community on X? So the funny

thing with Muse and with Instinct is On its face, it is the promise they made three years ago. That this is a thing that can do little appointments and it can run websites at what is very clearly an obscene cost. You've got a little virtual machine with eight gigabytes of RAM for each person using this. So you've just got this massive infrastructural burden. And then, okay, we can connect it to my email to clean it up. Who actually has that problem, by the way? I get thousands of emails a week. It's not that big a deal.

Grow up. But nevertheless, OK, do your calendar appointments. OK, kind of useful. Like, it's like, I'll give them credit. They've done something with some utility and zero revenue. I also want to raise something that doesn't really have a conclusion to it. But isn't it weird how quickly Meta and OpenAI clone that? Yes, isn't it? Meta came out with Muse and then OpenAI just yesterday, September 29th, just came out with Docs. Yeah. But it was like instinct. Muse dots within couple weeks. Very quick. And people say, oh, they were already working on them. Is it just that this industry following? Anyway, as far as the product goes, like I've used Muse, I've used Instinct. People get so mad at this, like, you don't use AI. Actually, I do. I've tried it. I deliberately forced myself to use it. I won't let it touch my information, but I've used it. And there are times when you're like, that's kind of useful. Like, oh, you need it to go and look up.

What places some something in store like I was looking up edibles for a friend for a week. They are a friend of mine, not me. The delivers in Vegas to here and here and here. I did that and it was quite cool. Muse did that. Instinct refused. I was like, oh, that's useful. But again, it's like, this is better search. And also, where is the revenue model in this? Where is like, how are they going to make money on this? People are saying, oh, they will do shreds of transactions. They'll do one of transactions shreds of transactions. So if you buy something through instinct or music or have you, they could make a little money. Oh, God. So a very high volume business on your extremely OPEX heavy business. Jesus Christ. No, they could charge money for it. All right. How much who's going to pay that a subscription based business? That's not going to be good. Open AI is doing this also on their 20, 100, 200, 500 plan to OK, so you compete with them. What's the business model here and also the danger of these things is huge. There you have the guy I saw a post on Twitter with an Asian man who instinct book

to fly and gave him what I would describe as quite a racist middle name. It was not his middle name, but it was like the kind of thing that someone racist would make up if they imagined an Asian. There's obviously the muse one where someone's personal address was given to someone and they turned up at their house.

And the muse agent was like, yeah, I'm coming down right now. Never came down. The person was pissed and left a bad review. That's just, I don't know, that's bad for a guy. That's going to get a woman killed. Like the real actual cost of having these things being willy-nilly about your personal information is huge. And this is ultimately a large language model problem. I will say, I'll give them credit. They managed to make a product that remotely came close to the promises with all of the dangers associated with LLMs and at a huge cost. We don't know the cost, but. Having a virtual machine for each person on top of large language models is bad. Like it's going to get expensive. It's interesting to see it. Had they done this three years ago, I might be seeing in a different tune. I would have actually been like, oh, I can see the product here. The thing I will say, and I will say this with immense respect for Torsten Slocke of Apollo. I think he's a phenomenal guy. I think he's done insanely good analysis. The thing about what if, I'll say I haven't met him, these phenomenal.

That thing he said about what if everyone used an agent to reallocate their capital? Little bit silly. Little bit silly for a number of reasons. Number one, most people don't have the ability to reallocate their capital. They're not attached to a Merrill Lynch account. Oh yeah, I'm just going to use my agent as a regular person with one bank account to get into Treasury bonds. How that's going to work. And also, every single person in the country is going to do this. Come on. Yeah, let me explain so financial stocks regional banks in particular are selling hard on on this thesis that people like you know the the median I saw a regional bank interviewed on on CBC and they said like our average account size is three thousand dollars the amount of money that you're gonna make or save each year by You know moving from an account that has one percent interest to four percent interest It just really does not move the needle let alone the fact that Are banks even going to let Muse access your bank account? Like, I don't think so. They want their own agent or something like that. Well, even then, they're not going to

allow, they shouldn't allow NLM to do that for financial regulatory reasons. Like, who has the liability there? Just, it's hellish. And also, let's get back to the really basic thing. This person has a single check-in count, 3,000 in it. And everyone will say, well, that's not what you meant to do. That's what most people do. I'm sorry.

They don't have any other accounts. Is Muse or Instinct going to open up an account? Are they going to start participating in treasury auctions? They're going to open up a CD. What we're talking about here. Where is the reallocation going to happen? How? And it's weird because Torsten in particular is extremely detail-oriented. Very strange to see another sell-off. But I think it's part of a broader problem that the markets are no longer connected to reality. Like meta stock skyrocketing off of Muse is insane. However you may feel about the product, it's generating negative revenue. It is now a massive infrastructure burden. Where is the money going to come from? And if the answer is they'll work it out, not good enough, man. But the idea that banks are selling off because of the off chance that people use agents to do something that no one can really explain what it is, it's just it's the PRification.

of the markets where narrative is the same thing as the global intelligence crisis with citrini now part of semi analysis is the same thing where like paypal and mastercard sold off because agents were going to replace commerce come on. And then there was a few months before that was something big is happening. Where everyone freaked out because the guy vaguely said that i was doing some stuff a guy who is noted. con artist who overstated the capabilities of a model he trained. That was the Matt Schumer fella. It's the same thing where the markets get affected by these ghost stories. And it's because I think no one really knows what's going on. And so everything is very marketing in very vague. Honestly, it makes me think that someone with really ill intentions could intentionally manipulate the market as a means of making money off of this. And I think the what's scary about that is When the worm turns on AI and it will, that's not something you can narrative your way out of because the stories are going to be very tangible and bad. We had another one this morning about how Oracle's Port Washington data center can't get the power it needs. That's bad. But Oracle stunned very well this week because of the 70 billion

annualized run rate thing from open AI. It's like a market controlled by children.

You talk about the narrative turning into financial markets, but in the narrative of public opinion, I would say Americans are quite opposed to AI, so much so that President Trump is officially rebranding it artificial intelligence to now super intelligence. What do you make of that move? And do you think that any attempts to make AI or super intelligence more popular or less unpopular, I should say, are going to have a shred of chance to be successful? So just before coming on here, I read a story that suggests that the Trump family had been investing in dot Si Slovenia domain names. So that might be it. No, I don't think this will work. I think this is a sick event. See test. I think any outlet and any company that actually takes super intelligence as a term and uses it instead of AI is just looking for a boot to lick. Yum, yum, yum.

Taste that leather, baby. Jensen Huang already said, oh, we're renaming AI factories, the super intelligence factories. Jensen Huang says a lot of stuff. If he does it on an earnings call, he's a coward. Little baby, little coward. Don't care how good you'd love the jackets off. I think the super intelligence thing is just the Trump thing. I think he woke up one day, super intelligence is better than artificial. It's super. We love it, don't we? And all of the various worm-tongued figures around him said, yes, sir. Perfect. We'll immediately let the media know. And if you fall for this, you fall for anything. And I think the public opinion on this is so difficult to change because, A, no one can tell you why we need more data centers. Like no one. There's not actually a code explanation. People are doing this bad faith attempt when they're saying, oh, you don't like data centers, but you like streaming media. Oh, you don't like Netflix anymore. When in fact the.

Kinds of data centers that Netflix uses and pretty much every major web service uses are much smaller and very different to the AI data centers Anyway, good luck telling anyone that most people are just like these things are huge and get all the money when I as a regular person Have less access to credit when my mortgage mortgages up for 8% now when basic loans and basic goods are more expensive than ever when inflation is Everywhere and has been for years and is not being controlled by rate hikes at this point

inflation is a result of price gouging across the board and it has been for years and the media has failed on this and the only way the government could actually deal with this is not through the Fed it's through actual financial regulation and through regulation of companies and using existing price gouging laws. Getting off my pedestal for a second I think that the disconnect between whatever value you think AI gives and what a data center is and what regular people experience in their lives is so distinct that there is no fixing it.

There is nothing. No amount of personal assistance stuff is going to fix things. People just want their shit to work. The reason people kind of like instinct is it will browse the dog shit that the internet has become. Most people just want their things to work. They want their lives to be easier. They want to make more money or at least they want their money to go further. AI is not offering anything. In fact, what AI is doing through these massive, and I should add, pre-purchases ad newsletter a few weeks ago, 200, 300 billion worth of GPUs aren't even installed anywhere. And a Jeffrey study came out where things 50% of the chips sold in 2026 and 2027 won't have anywhere to go. That, all of those pre-sales are increasing the cost of literally every consumer electronic. That's what people are noticing. And who do they buy in AI? There's no app that's going to fix this. There's no change to products that's going to fix this. There's no assistant that's going to fix the fact that people are angry at the tech industry for not giving them value. And I don't know what to tell them.

I actually don't have a compelling answer because the answer is to start fixing their products and stop wasting money on AI and stop treating people like they're stupid and building these horrible data centers for no reason. when you were talking about Muse that it basically does what the promises of AI did three years ago for the consumer because so much of the growth has been at the enterprise and at coders and at basically software engineers getting better and more efficient or writing more code and you know some like a lion's share vast majority of the spend on AI has been at the enterprise not the consumer level. Do you think that the release of Muse and Dots is going to improve from a very low level, like consumers view of, of AI, if, you know, as you probably saw the open AI's ad, which actually was a pretty, I don't like the name dots, but the ad was, you know, it was a decent

ad, but it was like, it was dots talking to a woman and saying, I've got bad news. Your wedding cake canceled, but good news. I found this, like basically adding value to people in their lives. Do you think that that is going to.

scale in usage in a way that matters. I understand the revenue. The answer for you is 100% no. But in terms of the usage, what do you think? That is a classic example of the AI industry thinking they know how human beings work when they don't. Most people read their emails. Maybe they don't read them studiously. Maybe they would miss the thing. But someone preparing for their wedding is keeping an eye on their emails. If they found out their wedding cake was canceled, they found out because they're it. I found you an alternative. You found me an alternative to my wedding cake, one of the most specific and personal things that involves tasting, that involves that you've likely found someone they've already looked at when people buy wedding cakes. It's one of these contrived examples where the most useful things for these that these things do is, hey, I need, in fact, no, I did this with instinct the other day and it didn't work very well.

It's find me restaurants in Brooklyn that are close to the AC line. And even then it didn't give me good, good examples. They keep talking about restaurant reservations, which is weird because the problem with restaurant reservations isn't being able to reserve them. It's the fact that none are left because of automated bots taking all completely trying to get into four horsemen and Williamsburg. See what I mean? Wild cherry or any number of these restaurants. That's because of automations that already existed. Nothing about this is your iPhone moment. Like that moment, the one I always point out, which sounds kind of mediocre now, but is the moment I was on singular wireless, and I showed people my voicemail, and instead of having to go press one to skip, you could just see the visual voicemail, people absolutely was like, bam, wow, wow, you can just type, wow, that changes my life. I don't think that there's a single thing with Muse, I'm not gonna lie, kind of interesting.

It is a much nicer interface to just chat and have things happen as it slowly clicks through a website. Okay. Sure. But where does that turn into something that makes a consumer go, this is essential to my life? And then

there's the thing I mentioned earlier of the stories of the person turning up at someone's house. That only takes a few of those to make people go, I don't know, I don't want to, I don't want to connect my shit to this. I don't want to like flights or another one. People like, oh, you could book flights with it. Flights are a very high-touch thing like even if they have all of your specificities There will be oh on on that Monday. I'm coming in I actually have meetings in the morning So actually I need to come in on Sunday But I don't want to take the red eye or maybe I do want to take the red eye cuz I like red eyes These are things that maybe you could teach them But it's by the time you've educated whatever it is kind of done all the work not saying it's bereft of utility but for these companies to come back from the hole they are in would require these things to be nothing short of magical because that's what they've been promising. And then on top of the fact that people don't like these companies, they're already untrusting. I'll also say, dot. I tried to read what dot could do. I felt like I was reading fucking Bible. It's just these insane things, just a paragraph. Well, your dot agent could talk to this dot agent. It's monitoring this and it's doing it. It's like.

Okay, what are you talking about man? Can you stop talking like the Riddler and tell me why I care about this? Because at this point I actually don't I've looked is dot just light is dots like instinct Maybe these people in fact I actually think the smartest thing these people could do is hire a chief state officer for each American state and have them go and hang out in various diners and bars and talk to regular people normal people, people that aren't in Silicon Valley. Because I think right now, and I said this to someone earlier, it's really stuck with me. The problem they have right now is these companies are trying to influence two groups of people. They're trying to influence the markets, which they mostly do through Jingle Jingle, actually three, the media, which they also do through Jingle Jingle, and Twitter. It's 40 year olds trying to impress 20 year olds. And then the media and the markets feed into Twitter as well, makes Twitter quite powerful as a propaganda tool.

But it gives them very little good information about what regular people want and how regular people experience thing. Or maybe they know and that they can't fix those problems because so many of those problems are not ones that you can solve with tech. You can't solve how broken the

internet is by having an agent browse it and also does the agent get it right because those little mistakes it makes in all that browsing. That's that's where you make a real errors. But also if you're using these things for research, as you will know, Jack. Research the greatest research comes from the sheet you bonk your head into on the way I had to teach I've had to teach myself the bond market in the last three months or three weeks even and it's been a nightmare and monetary policies Well done. I do this all the time But in researching that is where like trying to get to one answer is how I got to another which is by the way the BLS massively overvalues the benefits of software But that's a different conversation, but it's those little Traviles to get there that how you grow your knowledge Miyasato from the Virgil submitted point that one of the big selling points of these things is fashion. Except when you're buying clothes, you're not just like, I need a t-shirt. I want to see how this might look. I like this. Oh, the process of shopping is also part of the enjoyment, which gets to my final thing, which is, yeah, they haven't talked to a single woman in developing this. This is a very mail-coded, Twitter-coded, market-coded series of products, and you'll never solve any real problems doing that.

That's where they're trying to get to with the wedding cake thing, but honestly, I mean shame on me for not realizing it, but you're so right that Like you do not like oh, thank God my agent got me my wedding cake like you you want to be involved in the process But the thing is as well, it's like that but that's the problem. It's it's really easy to come up with examples much harder to fix problems and so When it's very male and this is not a woke-ism thing. This is just a straight-up thing. It's more women than men women spend more the men like women have more like it's like there's so there's a whole thing there where it's obvious that they've only talked to the people that will tell them what they want to hear you referenced the bond market i why are you learning so much about the bond market the credit market and what have you found out about just how much debt is going to be used to fund the vast amount of capex that is is planned to to be made you know you can fund capex through your current profits or current cash flow, or issuing capital, issuing equity or issuing debts. So we have that third leg of the stool. Just how big and important is that third leg of the stool, credit markets? So I did a two-part series called The Haters Got to AI

Dam, and I've made some good friends in fixed income who have been very generous, very generous with their time indeed.

The bond market is hilarious. It's like, if the stock market is measuring how excited we should be, the bond market is measuring how worried we should be. And the bond market in particular is where you can do the key jingling in the main market. You can make number go up through good stories. Bond markets don't move in the same way. So spreads may increase, but they don't flash, I mean, other than treasuries. But treasuries are a great place to start. So the 10-year obviously is pretty much the benchmark for all this AI debt, even though the bonds the Oracle does is like five, seven, what have you, but 10 is really where it sits. That 10-year growth is a nightmare, not like hyperscalers to an extent. Yes, the borrowing costs are going to increase dramatically, but they can afford it. They have great credit. The problem is two places, three. Neoclouds, CoreWeave. So I took CoreWeave's debt, so they raised 7 billion I think in bonds they've raised way more than that But as far as straight bonds go in 2025 2026 about 7 billion worth if you reprice them All of that debt which is still around nine points at the time. You're looking at 13% Like straight up the shit you would get from so far for a personal loan Like you say the bonds have sold off so much so price down effective yield up that if they were to issue those bonds today There would be a 30% cost of financing, which is obviously you know, somewhat userious and huge and a bragging part that Corey hasn't bragged about is that his finance costs have been going down that up. That is just a lie. I don't know how they I don't know how they wake up in the morning and say that without just feeling bad about themselves. Yeah, I think it was the minimum it would be was 12. But nevertheless, like this is actually in my free newsletter this week as well. So this is really bad for Corey. But just to be clear, that is the price based on the current spreads and the sell off. So it would be more than that.

It would be 13,514. This is why they're doing convertible notes. This is why they're going to do everything they can to avoid doing that again until they have to. Then there's Oracle. Oracle, they're 25 billion they raised back in November 2025. I think across those bonds, the shortest dated ones would be 7.1 to 7.5 now, and all of the long dated stuff, so over 20 would be 8.1 to 8.3. And again, it would be more than that because you're not just, you're

not getting exactly what the market's buying at. They're going to add a little vig on top. The other problem that Oracle has is that they are dangerously close to being downgraded. So if Moody's and S&P downgrade them from their one notch, their still investment grade, barely hanging on, they get downgraded or the pension funds and investment funds that legally cannot hold junk will have to dump their bonds, which will massively increase the cost of their borrowing.

And let's be clear about something. Oracle is already pricing like junk. They're already pricing like, really, I think the average on the bond market is like 7.5. They're already pricing like that. And this is a company that called a force majeur, or force majeur notice or whatever weird thing they did on the New Mexico data center. The debt on that is already at 89 cents to 91 cents on the dollar. That's already trading terribly. And Oracle is not done borrowing. But the biggest problem is the third part. which is these data center SPVs. So Project Beignet Investor, which was the Hyperion data center for Meta backed by Meta, a VIA, so variable interest entity, which means that Meta owns 20% of it. And thus it's not in their balance sheet, despite being the people building it, the people funding it and the people putting the GPUs and the people using it exclusively. That's one of the better deals and that's selling at 89 cents on the dollar.

So basically every data center project that is raising from here for the next forever, we'll be raising minimum eight, maybe nine, maybe 12, maybe 13. And at some point, this just becomes wholly untenable. And the treasury rates are only getting worse. I mean, I've been talking about fixed income people this week. And even they are like, I don't, I don't fucking like they're straight like, I don't fucking know. Like, well, I don't know what's like this is bad, but it's also 5.3% on 10 years, that's, I mean, maybe it goes down tomorrow, whatever, been saying that for a week. That is just an insane base for this debt, because the payoff on these data centers is still not clear. And let's say, best case scenario, these things have like a 30%, 40% gross margin. Is that even going to keep you ahead of 10% debt? Is that going to keep you ahead of 11%, 12%, 13%? No, the answer is no.

Already, the ongoing spread of the depreciation of the cost of the data center and the GPUs is so much further ahead of your gross margins that

your first five years, which are the only really guaranteed revenue years, are not even going to cover your costs with OPEX and staffing and all of that. So this is already bad. But now all of the debt that they're going to have to raise and there will need to be so much more for the hyperscalers is just going to be more expensive. It's going to be burdensome. It's going to be a problem. They deal with the future. You've also got with Oracle in April. Oracle has to refinance debt from 2020 that was raised to a ridiculously cheap 2.8 percent. Actually, it's going to be five, six, seven, eight percent by the time they get it out the door. SoftBank just raised 11 billion, barely, I think, barely below 10 percent. How the hell does this work?

How the hell does any of this work? And the answer is, I think that it just breaks at some point. There's going to be a bond sale that doesn't because we already had some wobbling with an Amazon one a few months ago where they only got 1.6 times the interest in it. Generally, you want three to four. We got over a subscription. Yeah. Yes. Yes. Sorry. I should have defined that. We're going to get one of these that doesn't get more than even interest. That's going to be bad. And then there's going to be a failed one. That's just going to be one that cannot raise or they have to raise the interest that the.

at the end to get people in, which makes the whole thing untenable. And I don't think anyone has a compelling answer as to how this fixes itself either. Do you think, if things go sour, that the private credit deals that ultimately have lent the money to CoreWeave, but CoreWeave has committed capacity from Microsoft Amazon or whoever a hyperscale blue chip client that basically the company on the on the real hook is are the hyperscalers the publicly traded giants Do you think that? The private credit people are going to be paid back because Microsoft honors its commitments because you know I'm sure as as you have you I've talked to private credit people and they seem pretty convinced at least on the deals that they've done that they you know, regardless of the economics that basically, you know, the hyperscalers can't wiggle out of these commitments. So the problem with someone like CoreWeep is it isn't just their customers paying them. It's their ability to get the data centers online fast enough to get paid. And the longer that takes, the more delays that that takes, the more interest that builds up. So it won't be our customers don't pay, though I think open AI doesn't pay.

And I don't think anthropic pays. It's going to be by the time they've paid, how much interest burden do you have?

And also, these private credit people need to stop pretending they thought too hard about this. There was an information story a few months ago that said that Blue Owl took 15 minutes to decide to invest in Stargate Abilene. That doesn't, these people are not thinking too hard about it. So the other thing with CoreWeave is it's not just Microsoft, it's Meta, it's OpenAI, it's Anthropic, it's Jane Street. It's all of these different companies and for each one, they've raised more and more debt. And they have, I think they're over 30 billion now, maybe 25. They've got all of this debt that will be paid back in the best case scenario with a slow dribble of money. Let's hope the delays aren't significant enough that the interest overwhelms everything and you just run out of money. Because the way that CoreWeave is raising right now, honestly, it makes me, I ain't no bond expert, but the way they're raising really feels like a company that is raising to stay ahead of its bills.

It means that the raises that CoreWeave has made have not been done to say, okay, I'm gonna raise this money. I have an overage of how much I'd need on the data center, so I have a buffer. And now I have this much cash to cover this revenue. I don't think they've done that. I think CoreWeave has raised, they've raised leverage loans, they've raised bonds. So leverage loans are just like the credit card debt of the large loan market. They've raised regular bonds, they've raised convertible debt, they've done straight equity sales at the market, they've sold to Nvidia. Those are too many things. It's your mate who has 17 credit cards and is always pying. You're like, hey, you're drunk at 2 PM on a Tuesday mate, drink a glass of water.

So it's not just do the customers pay. It's can call we've keep up with its bills and how many more times will call we've have to raise? I, the other day, I was looking at analysts who are estimating that in the next four years, call we's going to have to raise another hundred billion dollars. I mean, at this point, you may as well put it on your AmEx Centurion, Michael. Come on, baby. Michael and Traitor put on your AmEx. Get some points in there, but the thing is, the people to blame for this are the private credit funds. And they are the Goldman Sachs is the Japanese banks Sumitomo and Mitsubishi and UFJ SMBC. They are in basically every data center deal.

They're the ones to blame because they are the ones letting the gambler come back. It's like draft kings. But for the ultimate, the ultra rich, it's, hey, oh yeah, you're borrowing a worrying amount of debt. Maybe you need more debt to pay that off. Otherwise known as the Masayoshi son. That's been his classic routine.

And at some point, the counter argument to this is only it will be fine. And maybe they have some model that says, if we keep doing this and everything works out, it'll be fine. But it's not like they have a regular business. They have a business that is inherently based on completing multiples of the most ambitious infrastructure projects of all time. Like just every single one of them is unique. It's kind of crazy what they're doing. Data centers, it's condensing the power of a city into a space a thousandth of the size. That's crazy. And Corweave's doing it again and again. And they're doing it in places like Texas with the bonkers weather out there. The Corweave data center in Loudoun, even in London is no longer happening. Like just there's enough bad signs that Corweave might just not be able to keep up. And these data center SPVs. Yeah. The companies that are funding and ultimately the customer of these SPVs might not be liable.

But that doesn't mean the creditors are going to get paid back. In fact, I think most of the private credit debt doesn't get paid here. And I don't think private credit is collateralized well enough to weather that, especially not Blue Owl. Blue Owl is bigger in a lot of these deals. Blue Owl is in pretty much every Stargate data center for Oracle. They are in multiple core weave projects. Blackstone, Blackrock, same deal. SMBC, MUFJ, though I've heard those two Japanese banks have been selling off the risk. Better hope they have. Goldman Sachs, Morgan Stanley in a ton of them. The risk is everywhere. And perhaps not all of them go in the toilet, but I don't know how that.

I don't know how they avoid that because it will require customers to exist when 80% of all data centers demand is open AI and Anthropic. It will require the money to arrive in an expeditious fashion when CoreWeave has net 360 payment terms with open AI. It's in one of their contracts. It will require ongoing capital for their customers, which will be dependent on open AI and Anthropics case on their customers who are venture capital

backed startups that lose money to keep getting money, which means they're dependent on venture capital. It's just getting to a point where it's how much money is left How much money will be left when this is done and will it kill private credit or at the very least Give it its own great financial crisis in a way that I don't think many people have got ahead of like Nick the math has been great on this. Yeah, I Know that's the legend with this like he's been really on top of this. I Think we need more. I mean the financial time said some great reporting rubs Rob Smith over there didn't like some of the early was the first brand stuff has been great But this private credit is already a brewing crisis and private credit has invested heavily in what I would describe as some of the most volatile and difficult to complete projects in the world Which also have piss poor margins. It's not like these things print money when you turn them on It's just so unbelievably unstable. I'm happy to say I've had Rob Smith and Nick Nemeth on the show legends and By the way, you'll credit to you that you got opening eyes financials in 2025 as we talked on the first show and that, you know, that was reported alongside the financial time. So just mentioning them, Ed, if we're sitting as I hope we are another interview in a year, you know, October 1st, 2027, just how big and unwieldy do you think this has gotten? And my second question is, does revenue growth Even if it's massively unprofitable revenue growth for open AI and the thropic cure all ills, all the problems you've been talking about, can they optically be cured by the appearance of revenue growth? Open AI is projected to spend 750 billion on compute through 2030. That money's going to have to come from somewhere. Where's it going to come from? Really, there are only two places. Venture capital and venture capital since 2023 is for 800 billion total into AI. So just going to need that again.

Or from companies that like Nvidia that really can't afford to do too many rounds or soft bank who literally can't Anthropic same deal. It's not just will the revenues grow because it's the revenues grow so to the cost So it's a cash flow issue. It's not even revenue at this point So they will have to have gone public and have even if they got investment grade Their debt will still be priced like junk and they'll also need more of it than anyone's raised They'll need I think Amazon's raised 25 this year. They're gonna need double that Or trip or quadruple that every single year here into eternity The day in theory the bond markets could do that. I don't know if they'll do it

more than once I don't know if they'll do it on a recurring basis So in a year's time we are either gonna have to watch two companies pull off the biggest cash flow increase in history That money will have to come from somewhere or we are likely gonna be looking at one of both of them being dead or merged or taken into another company or broken apart I think this could all be collapsed by then. I've gotten smarter as I'm sure the commenters will let me know that I was ahead of my skis in the 2024 bet. But nevertheless, I think that this is all coming to a head, not because of anything technological, but because the voracious demand for capital that these companies have is just insane. And it's reached a point where they've exhausted private capital sources.

There is not enough to sustain them, and now they have to keep growing. So I think that we're going to see a bunch of dead data center projects. I think we see Oracle downgraded. I think one of these or multiple of these Stargate data center projects are dead. I think we see NVIDIA's revenues have dropped by them. In fiscal year 28, which begins February 2027, NVIDIA will have to make 670 or more billion just to make their own, they did a year's forward guidance, which is bonkers. I don't see that happening. But the big question mark I have is how much actual money is going into data centers because there's so much private capital that we don't know about that's flowing into this that it's going to take someone not getting paid for us to find out. Also, if interest rates keep going up, everyone's just going to hit a wall at some point. There's already enough risk in the market around data centers. So it's risk plus just insane interest rates. So I think we're going to see just a lot of destruction between now and then.

And we could even see the collapse of one of these AI labs. But the thing is, with AI, it's another simple attempt to solve a complex problem. Because let's take this, the highest level up, to just basic GDP growth. What they wanted AI to do was become the next productivity and the next GDP juicer. It was meant to be the thing that made a bunch of money come out of services that actually, the productivity goes up. They wanted it to be the next big GDP thing, which would only happen if both the infrastructural side and the software sales side work only one of those is happening right now and that is the g the gpu and construction sales when you actually look at the gdp growth that comes from even with real gdp even though that's

kind of wanked around with how software is measured by the bls when you look at gdp growth from software sales really that remarkable it's growing about the same as it always has so.

Everyone wanted this to be the panacea. It was meant to be the productivity boost, it was GDP boost, it was meant to be the new industrial revolution. It was meant to be the new thing that made every managed service better. It was meant to be a thing that helped regular people make more money. Where's that money coming from? Don't ask questions. It was meant to be also the new thing that grew the tech industry. It was meant to be the new construction industry thing. It was meant to be the new debt thing. It was meant to be how private credit made a bunch of money, how much banks met a bunch of money. A very simple solution.

to a much more complex problem of maybe we're at peak GDP we're getting there maybe GDP growth isn't going to come from the classic measurements we have maybe it's not going to come from magic up money maybe we don't. Have a new thing instead of trying to deal with that problem everyone's just crammed money into what the biggest most hugest thing looks like and it's worked short term because of all the construction and all the GPU cells problem there is when that drops out. We're going to have to look at what AI has actually done to the economy. What has AI actually improved? Has it improved productivity? No, productivity is basically the same. Growth is the same. Has it grown GDP growth? Has it grown the GDP outside of data sensors and GPUs? God, no, absolutely not. So what has it actually done? Created a financial crisis. And a very complex one, by the way.

because it's within the shadow banking system that people have been warning us about for decades. And so we're going to have instead of because everyone wanted a neat and simple thing, whether we have the new software, the new infrastructure, the new everything, we now just have future laser tag arenas connected to the worst debt in the world. And we'll have banks and private credit firms that are funded by insurance companies, as Nick's mentioned before. And we'll have this big, ultra complex situation that also cannot be solved through simple. choices. And then on top of it, we have the US national debt, which I don't have any answer for. I literally I

have no goddamn you are much more of a monetary policy guy than me. And I don't think I doubt you have one either other than very unpopular choices that everyone will hate. To put my amateur economists hat on what you mean and what vast majority of people interpret GDP to mean is like actual economic activity.

But the way it's measured, you know investment is an input so like when China Invests a trillion dollars into building apartment buildings that no one's ever going to live in that counts as GDP growth So it can kind of be game. So I think GDP growth a huge boost has been this data center build out But if if you're right that it is unprofitable and you know as kind of you know not efficacious as the apartment buildings in China that the ghost cities then the GDP growth now doesn't really mean that it's a huge productivity thing. And also, productivity actually tends to go down because there's an investment. So it goes on like a J curve. So even if AI was like the most legit thing ever, I would not expect it to go up here in the productivity statistics anytime soon. And on top of that, I mentioned earlier, the way that the BLS measures, Bureau of Labor Statistics measures the value of software, according to them, the software is cheaper.

today. And this is a major way that they calculate real GDP with late chin to the ICT industry. So already, software is being given way too much credit, because they say, Oh, it's a new feature. So this is new, the new value here, we need to the hedonic multiplier needs to make this more valuable. And everyone and right now, everyone's adding AI to everything. So I mean, we're going to wait until the middle of next year to find out. But I don't know, man, nothing about this feels like the future. This feels like I'm paraphrasing Mr. Paul Kudroski, wonderful economist. It feels like we're walking into America's lost decade. One thing that I think a point you made that I find convincing, and I think it's kind of hard to argue against, is that if AI is a bubble that pops in 2027, 2028, that the consequences won't be massive just for the economy and financial markets. How is that not the case? Just given how interconnected everything is and that the the really only source of growth right now is AI investment. Let's put my AI booster glasses on. I only see yellow and blue right now. So even if you think AI is the biggest, most hugest thing, the way that inferences are when the outputs

are created, the actual managed service of AI is kind of like an airline. With an airline, you say, I'm going to fly this route, New York to Vegas.

And I expect 400, I'm just choosing random numbers, but 400 passengers. If you get below a certain amount, that flight is now unprofitable. Same thing with GPU inference. You say, I'm going to rent 10,000 GPUs, pulling a number out of my arse. And I will need, and with that, you need to be able to say, I'm not going to have too many or too few customers. If I have too many, the service is going to be unsustainable, sorry, unstable. The customer is going to be unhappy. People won't come back. If I have too few, I spent too much money because you pay for the GPUs whether you use them or not. So it's already quite a brittle business model. So this means this all collapses. Open AI Anthropic goes tits up or just much smaller. There's not going to be the use of that data center. And on top of that, even there is no proof that there is enough demand for even a quarter of the data centers being built. And already these data centers are taking way too long.

It's very clear. Microsoft claimed they had 12 gigawatts of data set of capacity. Bloomberg and I reported in two separate stories. They only have two gigawatts of AI capacity. So already we have these companies with these massive hordes of chips that are just not being turned on. I don't see how that doesn't work out to some form of minor or major depression in the tech sector. And considering that the S&P 500 is pretty much being held up by Microsoft, Google, Meta, Amazon and... Nvidia really, Broadcom, Micron, SK Hynex to an extent. These companies are intrinsically attached to the AI bubble, and then there's the one no one's talking about, ARM. The reason I bring up ARM is because Masayoshi Son of Softbank, which I think is the third largest company on the Japanese stock market, maybe the fifth behind SMBC and MUFJ, the two banks that are invested in data centers.

80% of ARM is owned by SoftBank. So if ARM crashes, those margin loans that SoftBank has are going to get called, or SoftBank will have to start selling off ARM, which will create a catastrophic effect where people who invest in ARM will say, oh, I'm invested in SoftBank. It doesn't matter what ARM does, because if SoftBank is selling off the stock, that's the actual thing moving it. I could go on and on, and I kind of have, but the

point of making is... There are all of these things that need to go perfectly. For SoftBank to not face that, ARM has to grow in perpetuity. And OpenAI has to go public. And OpenAI has to go public at evaluation that allows SoftBank to be able to use their stock, which they've already collateralized in another loan, as a means of raising more money. And then what?

Because SoftBank, I think, has 40 billion, maybe more of debt and needs to be refinanced in the next year, chunks of it from 2020 and 2021, or interest rates will lower. All of this is to say that there are so many things that need to go right, and people will say, I'm being a doomer. I'm being a doomer. Oh, you don't know. I've had to force myself. Do you think I wanted to learn about the bond market? The answer is yes. The moment I learned a little bit about it, I got addicted. It's awesome. But the thing is I've had to grow my analysis so I could understand this and I've done so because I've been trying to prove myself wrong. Because I don't want to be a doomsayer for the sake of doom. I think that's a boring job. I don't think it's an intellectual exercise. I think it's masturbatory. I've done this so that I can actually come at this with informed perspective. The problem is the more I learn the worse it gets, the more ridiculous it sounds and the more catastrophic the outcome.

It's because if we stop today, it would still be really bad. The longer it goes on, the more debt that gets raised, and ultimately the more debt that doesn't get paid. And I think there's a scenario here where 80% of venture capital gets washed out with this. Worse than the dot-com bubble. And there is no post-dot-com bubble thing here. Because if a data center is not complete, it'll cost just as much to build. And a data center's OPEX will still be as expensive in two or three or four or five years as it is today. Yeah, and for context, interest rates are going up even more in Japan. Which means that Japanese investors are going to start repatriating their money instead of investing in American equities. Tell us what's kind of your base case for an anthropic IPO if you'll be able to get it off as well? What other things you'll be looking for when we get the public S1 that we can actually read it? I want to see those 2026 numbers.

That's the biggest thing we don't know right now. I think this thing could go public. I think there's a chance it doesn't. I think there's a chance it gets, we

worked. But I also think that they're going to cram this bad boy through. I think that we could see the ratings agencies say, yeah, this is investment grade. And everyone who's part of that decision should be fired and put in prison. I just want to be real abundantly clear about the moral position I hold on that, which is anyone who tries to give open AI and anthropic investment grade should be jailed. They should be fired and jailed, put them in prison. They do not care about people. They're scam artists and every bank that backs that is also a scam artist. People should go to prison with that. I don't give a shit if people disagree. But I think Anthropic will be pressed through. I think they get two trillion. I think they have a volatile ass stock. I think maybe they pop and they drop and they pop and they drop. I think they get through and then the first quarter they share, people are going to get real worried. It's just there's also a chance that gets pulled entirely. I don't know.

It's I've stopped trying to be naive about this. I've stopped trying to think the good sense or ethics or morals play into this at all. I think they will cram this through. I do think there's a chance that it also just has trouble getting out the door when this because right now we have Reuters is reporting. We don't have the real S1 when we have the real S1. I think that's when that's when we really find out how people feel. I also think open AI is going to have a nightmare IPO and regardless. I think they may have real trouble going public. Ed, it's been a pleasure. Could you just sum up your views on AI right now? I think that AI was meant to be the panacea for everything that was going wrong in tech, the new software API thing that you could build.

Upsells for sufferers a service on top of it was going to be the new infrastructure thing that amazon google microsoft would sell it was going to be the new thing startups built on top of i think what's ended up happening is. We have seen what happens when the tech industry gets taken over by management consultants and people that don't actually do good business but only care about growth and as a result of products reflect marketing and they reflect hype far more than they reflect stable businesses or. things that people actually would pay for that could pay their own expenses. And I think they tried to run the Silicon Valley playbook, not realizing that that playbook has been dead for a long time. And I think everybody's going to

end up paying as a result. Thank you so much, Ed. People can find your newsletter. Where's your ed at? Where's your ed dot at? And your most recent piece is called dead money. And you talk about how much the hyperscalers just have to make. And people should read that. We'll link to that. Ed, it's been a pleasure. Thank you again. Thanks for having me. Hope you enjoyed that. Want to say a big thank you to today's sponsor, Lens, ticker LENS, the Sarmaya Thematic ETF, which gives real asset exposure and the potential to diversify a 6040 portfolio. Read the prospectus at SarmayaETF.com. Disclosures in the show notes. Thanks for watching.